FINTECH

CASE STUDY – PAISABAZAAR

AGENDA

01 PRODUCT DISSECTION – PAISABAZAAR

02 DATABASE & ARCHITECTURE DESIGN

03 REVENUE MODEL -25% GROWTH

04 SQL -ETL PHASE

05 RISK & PERFORMANCE ANALYSIS
(USING EXCEL AND POWERBI)

06 GEN-AI & N8N AUTOMATION WORKFLOW

ABOUT PAISABAZAAR COMPANY OVERVIEW

POPULARITY

- ONE OF INDIA'S LEADING ONLINE FINANCIAL MARKETPLACES
- COMPARE & APPLY FOR LOANS, CREDIT CARDS & INSURANCE IN ONE PLACE
- FREE CREDIT SCORE CHECK & MULTIPLE BANK PARTNERSHIPS
- TRUSTED PLATFORM AMONG SALARIED & SELF-EMPLOYED PROFESSIONALS

IMPACT

- DIGITIZED LOAN COMPARISON & APPLICATION PROCESS
- INCREASED TRANSPARENCY IN INTEREST RATES & CHARGES
- SAVES TIME WITH ONLINE ELIGIBILITY CHECK & APPLICATIONS
- PROMOTES CREDIT SCORE AWARENESS & INFORMED DECISION-MAKING

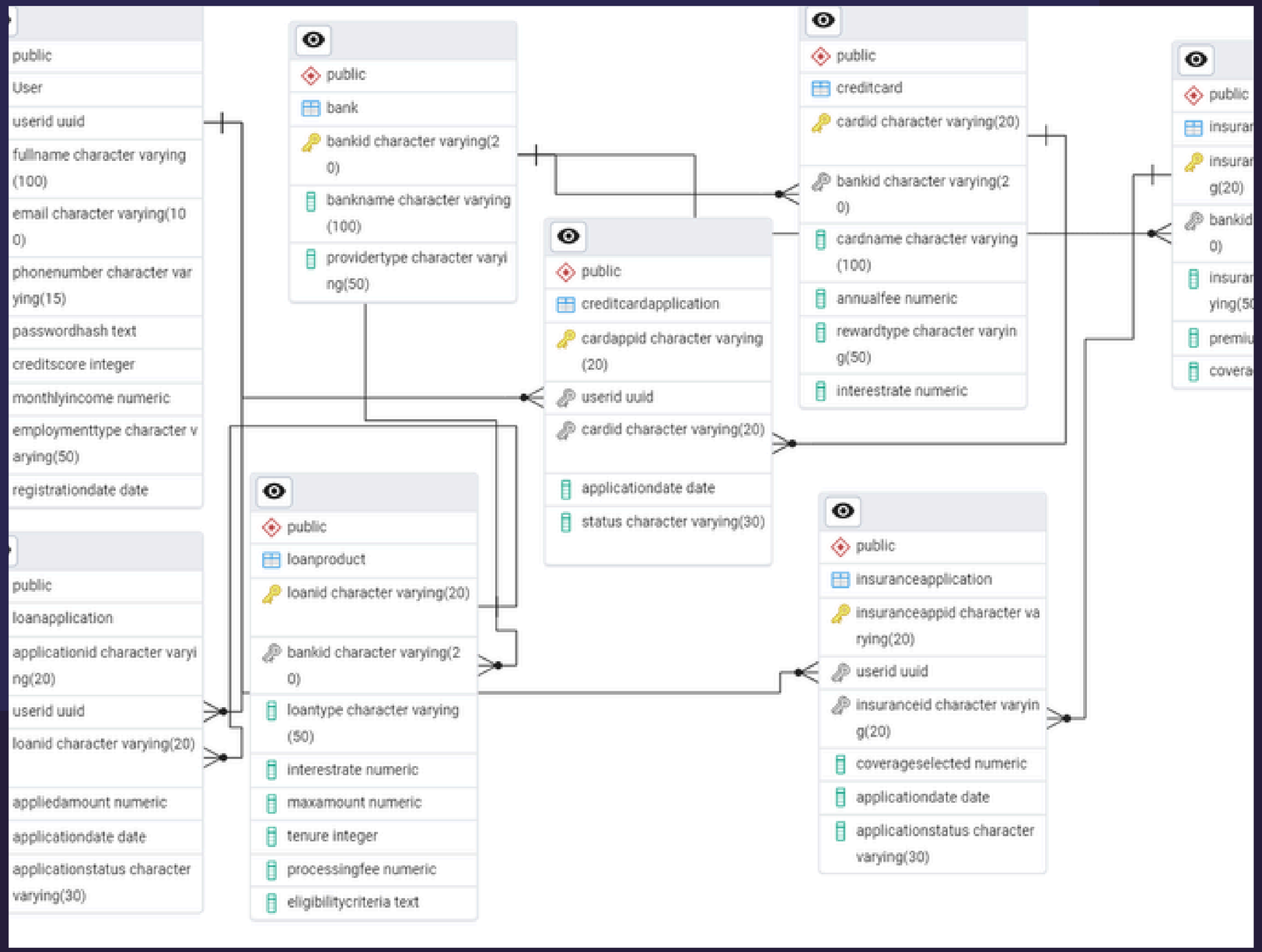
RELEVANCE

- MEETS DEMAND FOR FAST, PAPERLESS FINANCIAL SERVICES
- INSTANT ELIGIBILITY CHECKS & SIDE-BY-SIDE COMPARISONS
- SUPPORTS DIGITAL LENDING & FINANCIAL INCLUSION
- IDEAL FOR YOUNG PROFESSIONALS SEEKING QUICK SOLUTIONS

SERVICES OFFERED

- INSTANT LOAN ELIGIBILITY CHECK
- FREE CREDIT SCORE CHECK
- CREDIT CARD COMPARISON
- LOAN
- CREDIT CARDS
- INSAURANCE
- DIGITAL DOCUMENTATION
- PERSONALIZED RECOMMENDATIONS

SCHEMA DESIGN



THE SCHEMA FOLLOWS A MARKETPLACE MODEL:

👤 USERS APPLY FOR PRODUCTS

🏦 BANKS PROVIDE PRODUCTS

📦 PRODUCTS RECEIVE APPLICATIONS

REVENUE MODEL & 25% PROFIT GROWTH STRATEGY

Analysing PaisaBazaar's Current Status

- **COMMISSION-BASED REVENUE:**
  LOANS, CREDIT CARDS, INSURANCE

- **KEY COSTS:**
  MARKETING (CAC), TECH INFRA, SALARIES, COMPLIANCE

- **GROWTH DRIVERS:**
  CONVERSION RATE, HIGH-MARGIN PRODUCTS, CUSTOMER RETENTION

Strategy to Achieve 25% Profit Growth

- OPERATIONAL EFFICIENCY (~8%)
- REVENUE GROWTH (~9%)
- CUSTOMER RETENTION (~5%)
- MARKET EXPANSION (~3%)

Defining Strategic Growth Plan – PaisaBazaar

- OPTIMIZE EXPENSES
- ENHANCE REVENUE STREAMS
- IMPROVE CUSTOMER RETENTION

SQL ETL PHASE

EXTRACT (DATA LOADING & VERIFICATION)

- CREATED STRUCTURED LOANS TABLE WITH PROPER DATA TYPES
- IMPORTED LOAN_FINAL313_.CSV INTO SQL
- VALIDATED ROW COUNT, LOAN YEARS & UNIQUE CATEGORICAL VALUES
- ENSURED ACCURATE DATA LOADING BEFORE TRANSFORMATION

◆ TRANSFORM (DATA CLEANING & FEATURE ENGINEERING)

- IDENTIFIED & HANDLED MISSING VALUES
- STANDARDIZED CATEGORICAL FIELDS
- CREATED NEW FEATURES:
  PROFITABILITY

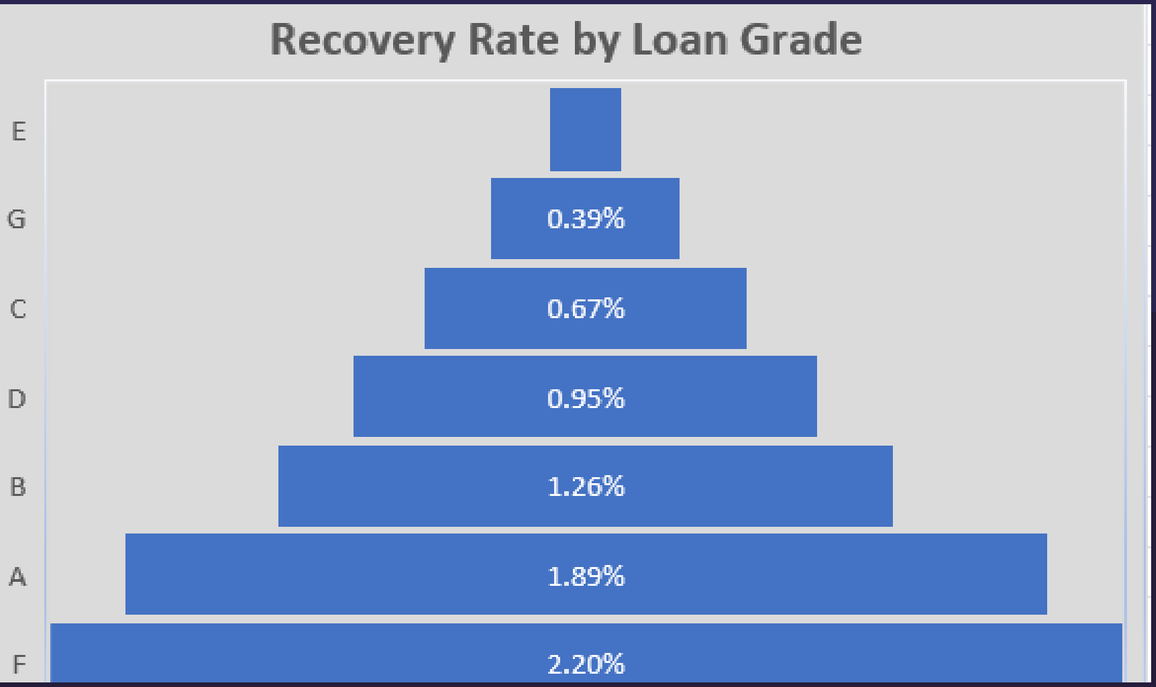
  RISK_FLAG (BAD LOAN = 1, ELSE 0)

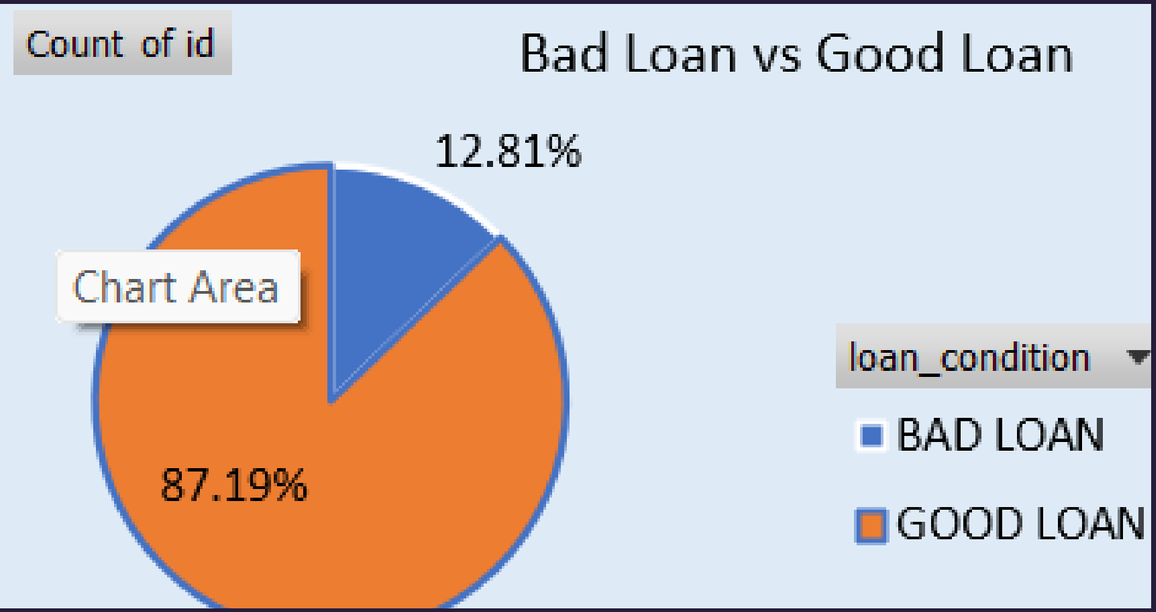
  INCOME_TO_LOAN_RATIO
- EXTRACTED NUMERIC LOAN TERM

◆ LOAD PREPARATION (STRUCTURING FOR ANALYSIS)

- CREATED CLEAN DATASET: LOANS_CLEANED
- REMOVED NULLS IN CRITICAL FIELDS
- CALCULATED DEFAULT_RATE_INDICATOR (YEAR-WISE)
- EXPORTED ENRICHED DATASET FOR EXCEL & DASHBOARD ANALYSIS

EXCEL AND POWERBI BASED ANALYSIS





PERFORMANCE ANALYSIS

Total Loan Applications	Avg Intrest Rate
70K	13.69

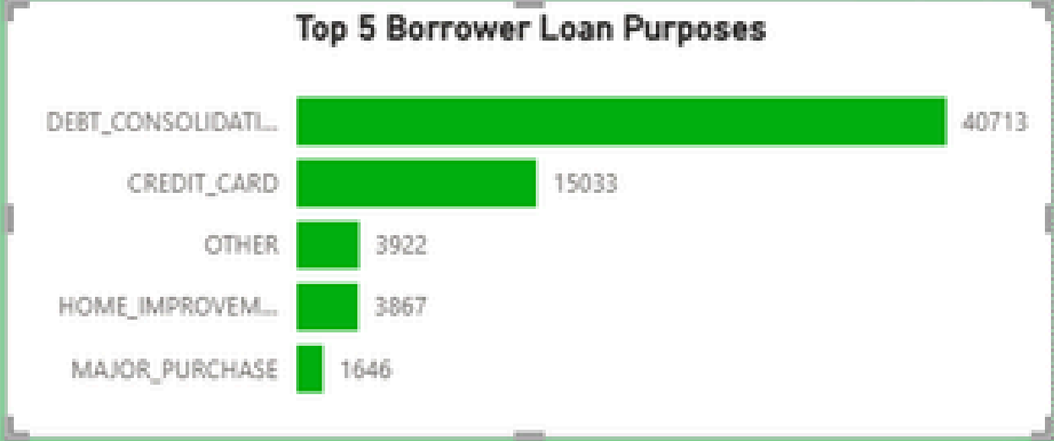
Total Funded Amount	Total Amount Recieved
984M	840M

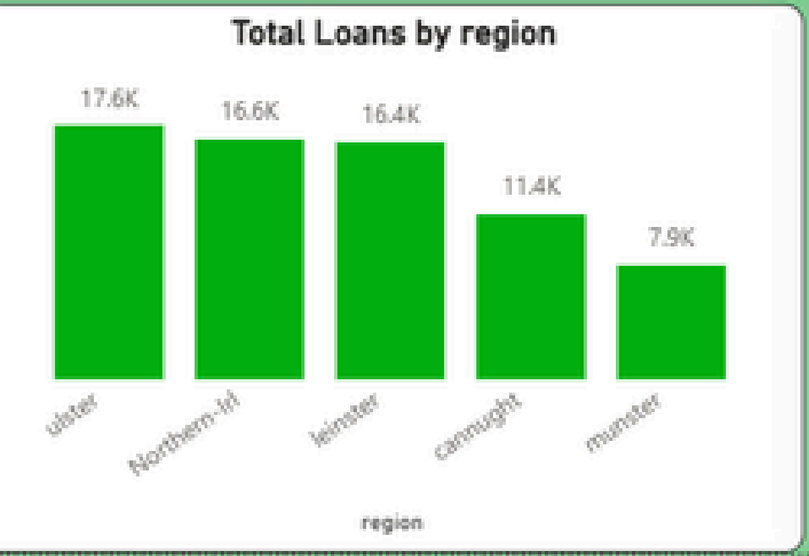
term
All

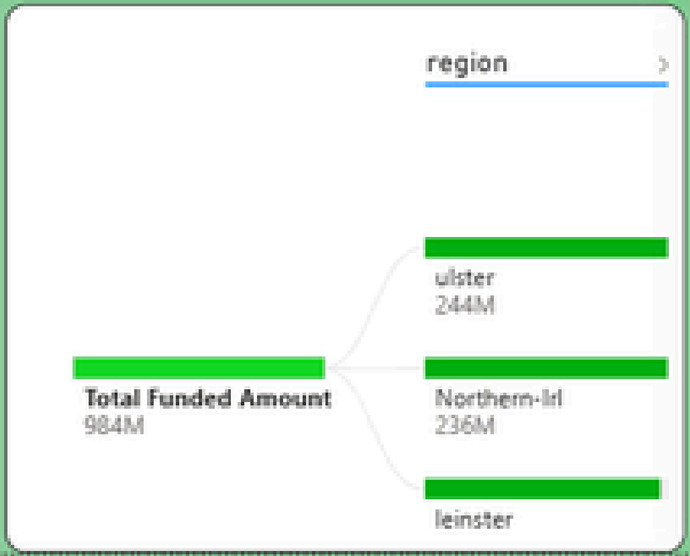
purpose
All

income_category
All

grade
All







RISK ANALYSIS

Clear Filters

region
All

year
All

term
All

purpose
All

income_cat
All

loan_condition
All

grade
All

Total Loans by Loan Condition

Default Rate

12.81%

Recovery Rate

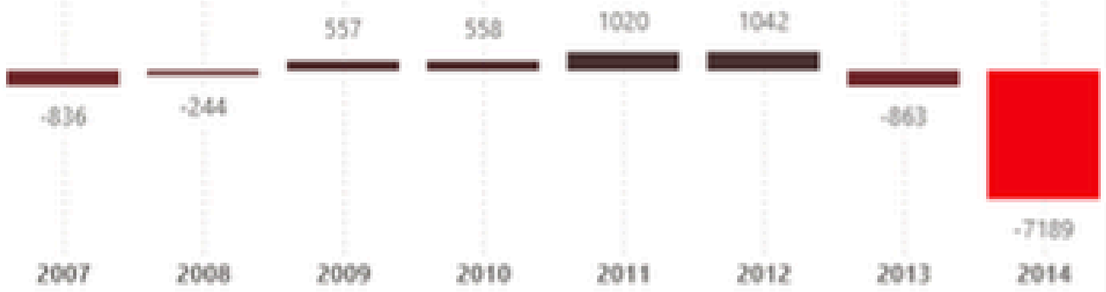
5.1%

Risk Matrix: Default Rates Across Grades and Employment Tenure

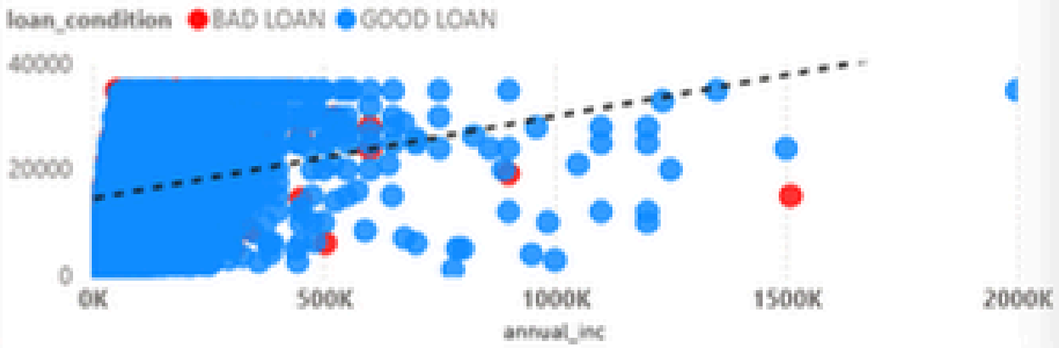
grade	0.50	1.00	2.00	3.00	4.00	5.00	6.00	6.05	7.00	8.00	9.00	10.00	Total
A	0.07	0.05	0.05	0.04	0.03	0.04	0.03	0.09	0.05	0.05	0.03	0.04	0.05
B	0.10	0.09	0.09	0.10	0.10	0.10	0.11	0.13	0.10	0.09	0.11	0.09	0.10
C	0.14	0.14	0.14	0.13	0.13	0.13	0.13	0.17	0.14	0.14	0.15	0.13	0.14
D	0.22	0.21	0.18	0.20	0.19	0.16	0.19	0.19	0.17	0.20	0.18	0.18	0.19
E	0.23	0.21	0.22	0.26	0.26	0.19	0.24	0.19	0.28	0.17	0.22	0.23	0.23
F	0.26	0.30	0.33	0.22	0.29	0.32	0.27	0.32	0.24	0.31	0.39	0.25	0.28
G	0.30	0.47	0.25	0.33	0.29	0.40	0.30	0.00	0.37	0.19	0.28	0.35	0.33
Total	**0.14**	**0.13**	**0.13**	**0.13**	**0.13**	**0.12**	**0.13**	**0.15**	**0.13**	**0.12**	**0.14**	**0.12**	**0.13**

Default_Rate_indicator by term

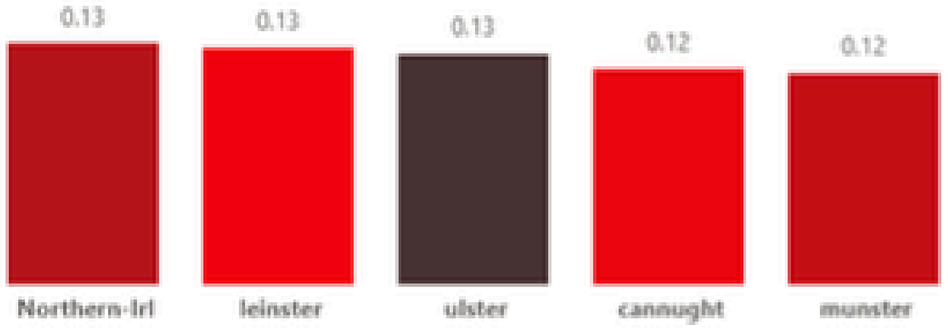
Average Loan Profitability Across Year



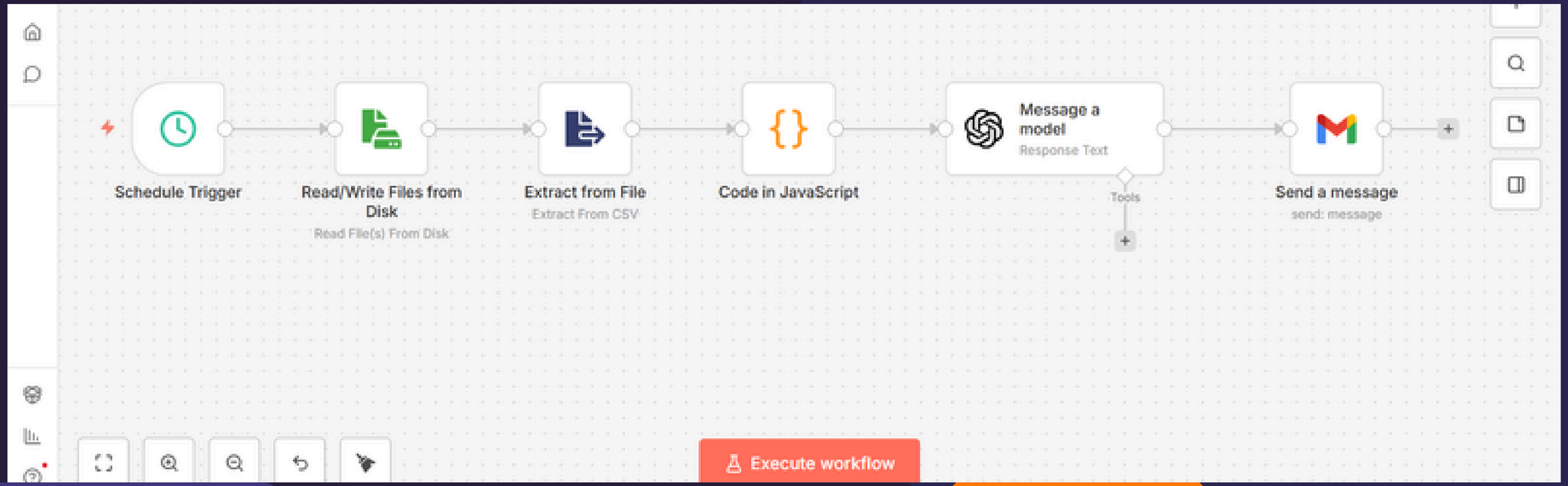
Income vs Loan Amount – Default Risk Analysis



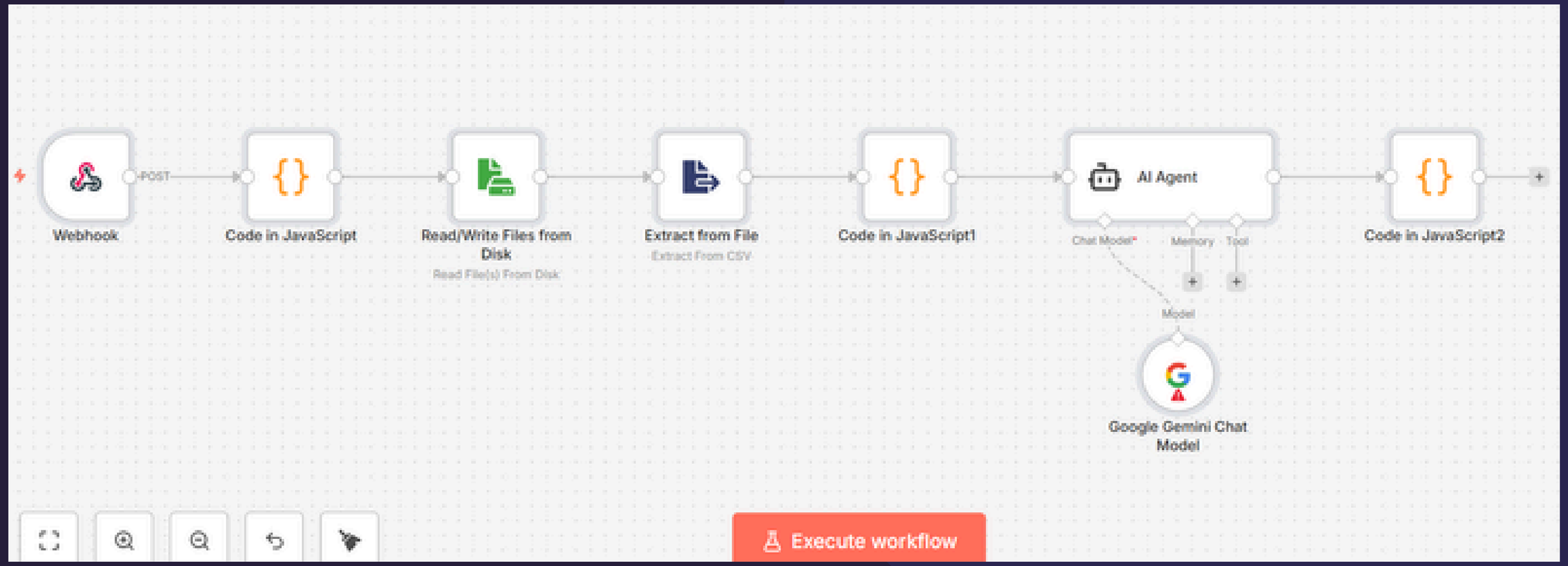
Default Rate by region



AUTOMATED LOAN PORTFOLIO RISK SUMMARY

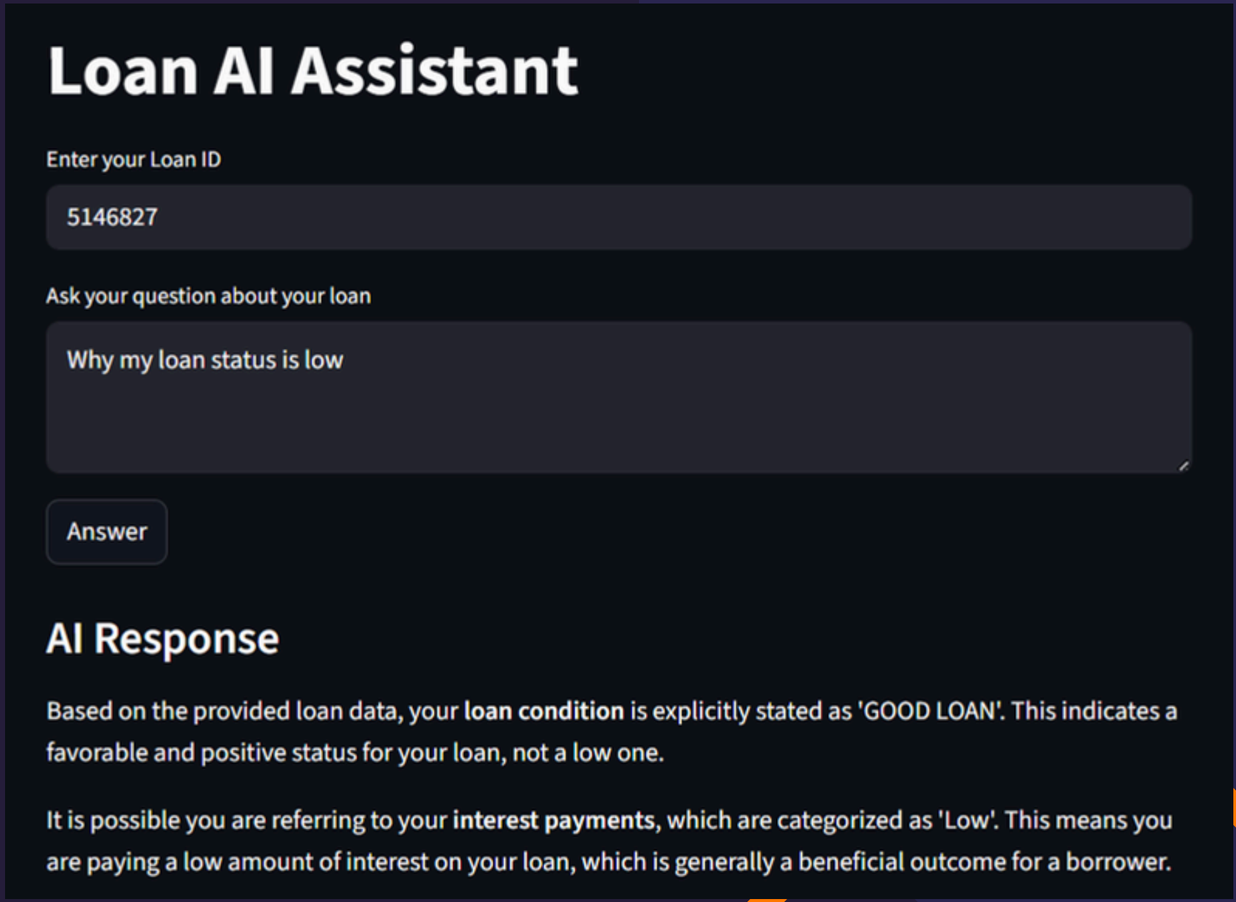


AI-BASED LOAN DECISION EXPLANATION AUTOMATION



OUTPUT

AI-BASED LOAN DECISION EXPLANATION AUTOMATION



RECOMMENDED BUSINESS ACTIONS

- REDUCE OVERALL DEFAULT RATE (CURRENTLY 12.81%)
- FOCUS ON 36-MONTH LOANS (LOWER RISK SEGMENT)Y
- TARGET LOW-DEFAULT REGIONS
- GRADE-BASED STRATEGS
  - GRADES A & B SHOW LOW DEFAULT.
  - GRADES E, F, G SHOW VERY HIGH DEFAULT.
- DATA-DRIVEN MONITORING DASHBOARD
  - IMPLEMENT REAL-TIME TRACKING FOR:
  - DEFAULT RATE BY GRADE
  - DEFAULT RATE BY REGION
  - APPROVAL RATE

THANK YOU